

1.6 SAY'S LAW OF MARKET

The Say's law of market has been a basic pillar of classical economic theory. According to this law, every supply generates its own demand. An implication of the above is that if a commodity is produced, it will create sufficient income for the owners of factors such as land, labor and capital to purchase the produced commodity. After all, the price of the commodity is divided into its components such as rent, wages and profits. Hence, this income will be sufficient to realize the price of the commodity.

According to the Say's law, enough income will always exist to purchase the entire produced output, so that there will not be any surplus left under the laissez-faire orientation. Using this logic, it can be concluded that there should not be any major depression. If it occurs, it must be caused by some interference with the free flow of commodities and money. The Say's Law thus supported the laissez-faire orientation of classical economics. The law is heavily dependent on the assumption of perfect flexibility in prices. Under this assumption, whatever quantity is produced can be sold in the market. In the short run, supply (or demand) may exceed demand (or supply). Such discrepancy is adjusted automatically, and instantaneously, through a decline (or rise) in prices. Such instantaneous adjustment exists for all commodities and factor inputs. Says' law is also regarded as a natural consequence of perfect competition.

The proponents of the Say's law believe that the law is valid both in a barter economy as well as a money economy. The law states that income received from the production of output is always spent on aggregate demand, i.e., consumption and investment. In other words, the law suggests that money is never hoarded and that the money or expenditure stream (MV) remains neutral. There is no doubt that the law is valid under a barter economy where production was primarily for consumption, i.e., whatever is produced is exchanged for goods and services. But one may doubt its validity in the present era, when production is based on future expectations and anticipations of demand; there is bound to be some overproduction. It is often said that the Say's law is valid if a substantial portion of production is used for consumption and the rest, if saved, is invested.

Check Your Progress 2

- 1) Describe how output and employment are determined in the classical model.

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2) What are the implications of the quantity theory of money?

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3) What is the relevance of the Say's law?

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1.4. CLASSICAL DICHOTOMY

From the quantity theory of money (QTM) we find the relationship between money supply and price level. We discuss below the effect of changes in money supply on other macroeconomic variables.

1.4.1 AD-AS Equilibrium

In an economy the real variables are real GDP, real capital stock and employment. These variables measure certain physical quantity. For instance, real GDP is defined as the quantity of goods and services produced in a specific period, such as a year, quarter or month. Similarly, real capital stock is defined as the quantity of machines and structures available at a specific time. The nominal variables are expressed in terms of monetary value, for example, the price level and the wage of a person in rupees.

Classical theory of output and employment suggests that the changes in the quantity of money affects nominal variables such as prices, nominal wages and nominal income. Changes in quantity of money, however, does not affect real variables. Classical economists provide an argument that real supply-side factors such as population, technology, capital stock, state of technology, marginal physical product of labour, and households' preferences regarding work and leisure determine real output and employment. The assumption of flexibility in prices leads to the self-adjustment of markets. Flexibility of prices and wages suggests that the changes in money supply affects the price level and nominal values such as money wages and nominal interest rates while real variables remain unaffected. Such independence of real economic variables from changes in money supply and nominal variables is known as 'classical dichotomy'.

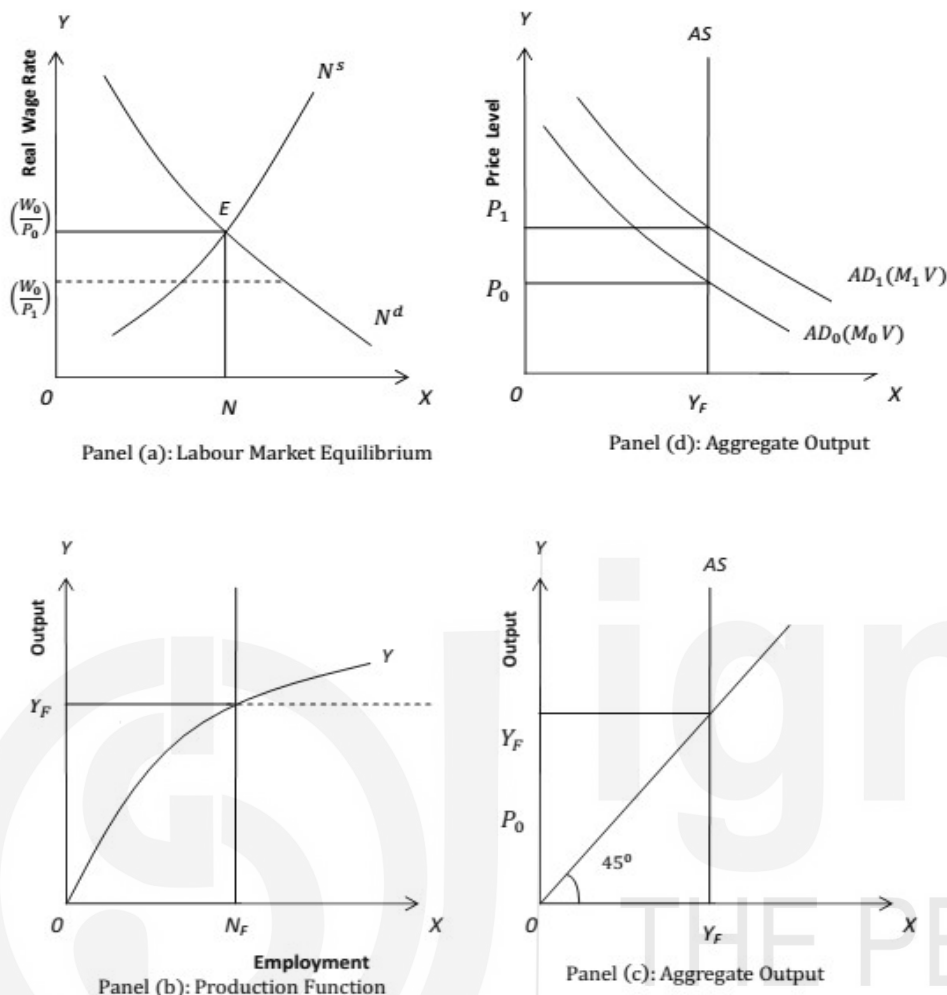


Fig. 1.5: Classical Model of Output Determination

1.4.2 Neutrality of Money

An implication of classical dichotomy is that ‘money is neutral’. We have illustrated ‘neutrality of money’ graphically in Fig. 1.5. There are four panels in Fig. 1.5. Suppose money supply in an economy is equal to M_0 at a specific time. The corresponding aggregate demand curve is AD_0 as seen in panel (d) of Fig. 1.5. Its interaction with the aggregate supply curve AS decides the price level P_0 . Corresponding to the price level P_0 , the labour market determines the equilibrium money wage rate W_0 . Hence, the real wage rate is equal to W_0/P_0 and equilibrium level of employment is N_F as seen in Panel (a) of Fig. 1.5. Given the production function (see Panel (b)), with the equilibrium level of employment N_F the aggregate output is Y_F . Let us assume that the monetary authority of the country expands its money supply from M_0 to M_1 which results in an upward shift in the aggregate demand curve to AD_1 as seen in Panel (d) of Fig. 1.5. As a result, the price level increases from P_0 to P_1 . This causes the real wage to fall from (W_0/P_0) to (W_0/P_1) as seen in Panel (a) of Fig. 1.5. At the real wage decreases to (W_0/P_1) , the demand for labour increases. Thus, labour demand